ideaForge Technology Limited

NSE: IDEAFORGE | Defence / UAV Technology | India

India's largest UAV manufacturer inflecting — record Rs. 530 Cr FY26 order inflows + Rs. 310 Cr opening order book for FY27 support a structural multi-year growth cycle.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 1,050**	**+21.4%**
CMP: Rs. 864.85	12-month horizon	from CMP

CMP (15 Jun 2026)	**Rs. 864.85**	Market Cap	**Rs. 3,752 Cr**
52-Week High / Low	**Rs. 992 / Rs. 366**	Face Value	**Rs. 10**
P/E (TTM)	**Loss-making**	P/B	**6.16x**
Book Value / Share	**Rs. 141**	Promoter Holding	**33.36%**
FII / DII	**0.73% / 0.47%**	Promoter Pledge	**Nil**
FY26 Revenue	**Rs. 286 Cr**	FY26 EBITDA (Q4)	**Rs. 74 Cr (52.6%)**
FY27E Revenue (E)	**Rs. 480 Cr**	FY27E EPS (E)	**Rs. 41**
Debt / Equity	**0.03x (FY25)**	Interest Coverage	**N/A (losses)**

Investment Horizon: 18–24 months | **Sector:** Defence / UAV Technology | **Exchange:** NSE | **Report Date:** 15 Jun 2026

Analyst: MPM Research Desk | **Source:** Screener.in, stockanalysis.com, company filings, web research

2. INVESTMENT THESIS

- **Structural demand inflection for Indian military drones:** India's defence modernisation push is shifting from legacy imports to indigenous UAV platforms. Emergency procurement routes, triggered post-Pahalgam and ongoing counter-insurgency operations, are shortening procurement cycles. ideaForge, with DGQA-certified platforms (SWITCH, NETRA) and >950,000 cumulative operational flights, is the default supplier — addressable order pipeline exceeds Rs. 1,500 Cr over FY27-29E.

- **Record order inflows validate the thesis:** FY26 saw Rs. 530 Cr of order inflows (highest-ever), leaving Rs. 310 Cr as opening FY27 order book. Management has guided 50-55% blended EBITDA margins for FY27, implying Rs. 240+ Cr EBITDA on conservatively Rs. 480 Cr revenue — a 3x PAT uplift year-on-year if execution holds.

- **Transition from ISR to ISR-plus-Strike opens a much larger TAM:** ideaForge is developing combat-capable UAVs (ZOLT tactical drone), EW-resilient GNSS-denied systems, and nano-drones (Vantage Robotics investment). Moving up the lethality stack expands per-platform ASP and total addressable market from Rs. 3,000 Cr to Rs. 10,000+ Cr by FY30E.

• **Near-term catalyst (6-12 months):** Execution of the Rs. 310 Cr FY27 opening order book — of which Q1-Q3 FY27 delivery is expected — will drive the first full-year profitable PAT in the company's listed history. A QIP of up to Rs. 500 Cr (board-approved June 2026) will fund capacity, combat-UAV R&D;, and international expansion, potentially re-rating the stock from "loss-making drone play" to "profitable defence growth compounder."

• **Biggest structural risk:** Revenue lumpiness — ideaForge's top-line is entirely project-driven, concentrated in government procurement. A single delayed tender or cancelled contract (as seen in FY25: revenue collapsed 49% YoY) can wipe out a year's earnings. Until the order book diversifies across segments and geographies, volatility will remain high and discounted into any valuation multiple.

3. BUSINESS OVERVIEW

• **Core business:** ideaForge Technology designs, manufactures, and deploys Unmanned Aerial Systems (UAS) for defence, homeland security, and industrial applications. Founded in 2007 by IIT Bombay alumni, the company holds an estimated 50% market share in the Indian indigenous UAS market. IPO listed on NSE/BSE in July 2023.

• **Product portfolio:** (i) SWITCH — fixed-wing VTOL for persistent ISR (military/paramilitary); (ii) NETRA series (V4/V5) — quadcopter for surveillance and disaster response; (iii) Q-series — mapping and surveying UAVs for civil/commercial use; (iv) ZOLT — tactical nano/loitering-munition-type drone (in development); (v) YETI — logistics drone (prototype stage). EW-resilient GNSS-denied variants are now a standard feature across the military range.

• **Revenue concentration:** ~85-90% of revenue is defence/government-driven (Army, BSF, CAPF, paramilitary). Commercial/civil surveying contributes ~10-15%. Government contracts are project-based and lumpy — typically 12-18 month delivery cycles post-award, making revenue recognition back-loaded within any fiscal year.

• **Order book and visibility:** FY26 order inflows reached a record Rs. 530 Cr. Opening FY27 order book stands at Rs. 310 Cr, with execution guided primarily across Q1-Q3 FY27. The company executed ~40% of its open order book in Q4 FY26 alone, including first-ever EW-resilient system deliveries post user acceptance testing.

• **Strategic developments (FY26):** (i) DGQA certification of SWITCH UAV received; (ii) Joint venture with First Breach Inc. (US) to navigate US defence procurement; (iii) First US order from Lamar Police Department, Texas; (iv) Board approved Rs. 500 Cr QIP (June 2026) for capacity + R&D; + international expansion; (v) Deployed fleet crossed 250,000 end-customer flights in FY26 (cumulative: 950,000+).

• **Promoters:** Co-founders Ankit Mehta (CEO, IIT Bombay Mechanical), Ashish Bhat (VP R&D;, IIT Bombay Electrical), Rahul Singh, and Vipul Joshi (CFO) together hold ~33% post-IPO. No promoter pledge as of FY26. Qualcomm Ventures and other institutional investors hold the balance. Management quality is considered strong — IIT-pedigree, deep domain expertise, and 17+ years of UAV development track record.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **India UAV market size:** The Indian drone market is estimated at ~USD 1.8 Bn (Rs. 15,000 Cr) by FY26 growing at a 14-15% CAGR. The defence UAV sub-segment is expected to scale much faster — driven by India's push to retire foreign-sourced systems and build indigenous ISR/strike capabilities. The Indian MoD's "Make in India" mandate under the Atmanirbhar Bharat initiative reserves a growing share of procurement for domestic manufacturers.

• **Policy tailwinds:** (i) PLI scheme for drone manufacturing — ideaForge is one of 14 selected beneficiaries, receiving a 20% incentive on value addition over 3 years; (ii) Emergency procurement routes allow faster acquisition bypassing lengthy DPP cycles; (iii) Drone Rules 2021 and UAS Policy 2021 creating structured civilian market; (iv) NATO-linked allies (UK, Germany, US) actively seeking non-Chinese trusted UAV sources.

• **Competitive moat assessment:** Switching costs — STRONG (military platforms require DGQA certification, operator training, long-term maintenance contracts; embedded in operational doctrine); IP / Technology — STRONG (EW-resilient GNSS-denied navigation, SWITCH VTOL architecture, indigenous AI payloads; 17 years of R&D; investment); Scale — MODERATE (>950,000 cumulative flights is significant operational data advantage); Pricing power — MODERATE (government procurement uses L1 tendering, limiting pricing flexibility; partially offset by certification barriers).

• **Key risk — Adani-Elbit JV:** The Adani Group's joint venture with Elbit Systems (Israel) is a well-capitalised new entrant. Adani's government relationships and Elbit's advanced platform portfolio represent the most credible competitive threat to ideaForge's defence pipeline over FY27-29.

Peer Comparison (data as of 15 Jun 2026; source: tickertape/web search)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	P/B (x)	TTM Rev (Cr)	PAT (Cr)	ROCE %
ideaForge Tech	864.85	3,752	N/A (loss)	6.16	286	-17	N/A
Paras Defence	857	6,544	78.7	9.59	477	90	N/A
Astra Microwave	N/A	13,454	70.1	10.29	1,163	193	0.29
MTAR Technologies	3,242	9,972	156	14.3	876	95	N/A
Droneacharya	42	106	276	1.77	35	N/A	11.6

Note: ideaForge TTM revenue = FY26 full year Rs.286 Cr. FY27E inflection expected as Rs.310 Cr order book executes. Peer data sourced from web search / public disclosures; verify against Screener.in before trading decisions.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Management pedigree:** Co-founded by four IIT Bombay alumni in 2007. Ankit Mehta (CEO) has 19+ years in UAV technology — the company grew from an IIT innovation cell project to India's largest drone manufacturer. Vipul Joshi (CFO) brings finance and operations discipline. Ashish Bhat leads deep R&D; (VP R&D;). The founder-led team with skin-in-the-game is a material quality differentiator versus deep-pocketed conglomerate entrants.

• **Capital allocation track record:** Management has consistently prioritised R&D; over dividend payouts — Rs. 76 Cr of fresh capital deployed in R&D; in FY25 alone, focused on NETRA 5, SWITCH hybrid, ZOLT, YETI platforms. This is appropriate for a technology moat business in early-growth phase. The Rs. 500 Cr QIP (June 2026) is intended for capacity build-out, combat UAV R&D;, and international expansion — rational capital allocation for a platform business.

• **Dividend policy:** No dividends have been paid since listing. Nil dividend is appropriate given growth phase and negative reported PAT. Expected to remain nil through FY28E at minimum.

• **Promoter pledging:** Zero promoter pledge as confirmed in FY26 disclosures. Promoter stake has diluted post-IPO from ~50%+ to ~33% as institutional investors (Qualcomm Ventures, public float) entered. No further pledging concern.

• **ESOP / buyback:** ESOP grants exist (standard for a tech company retaining engineering talent); no buyback history given loss-making status. Dilution from the QIP (~500 Cr / ~Rs.850 issue price = ~5.9% dilution) is manageable.

• **Corporate governance:** No qualified audit opinions noted. No major RPT concerns flagged. The company disclosed all concall transcripts with exchanges. The shift from NGQA-to-DGQA certification took longer than initially guided — a minor credibility mark against management's timelines. Revenue lumpiness and Q1-Q3 FY26 losses despite a full pipeline are a watch-point on execution predictability.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated

Particulars	FY23A	FY24A	FY25A	FY27E	FY28E
Revenue from Ops	186	314	161	480	700
Gross Profit	127	156	52	288	420
Gross Margin (%)	68.3%	49.7%	32.3%	60.0%	60.0%
EBITDA	35	34	-82	240	360
EBITDA Margin (%)	18.9%	10.9%	-50.9%	50.0%	51.4%
Depreciation & Amort.	1.3	2.8	5.6	12	15
Interest Expense	4.6	3.5	0.7	5	6
Profit Before Tax	41	61	-62	210	320
Tax	8.8	15.8	-0.1	30	50
PAT (Reported)	32	45	-62	180	270
EPS (Rs.)	8.55	10.96	-14.41	41.0 (E)	61.0 (E)

Balance Sheet Summary (Rs. Cr) — Consolidated

Particulars	FY24A	FY25A	FY26A
Share Capital	N/A	43.1	43.3
Reserves & Surplus	N/A	198.8	N/A
Total Equity	N/A	608.7	599.0
Total Debt (Borrowings)	N/A	16.5	83.7
Total Liabilities	N/A	63.1	199.7
Fixed Assets (Net Block)	N/A	200	N/A
Current Assets	N/A	415.8	483.3
Cash & Equivalents	N/A	15.9	39.3
Total Assets	N/A	671.8	798.7

Cash Flow Summary (Rs. Cr) — Consolidated

Particulars	FY24A	FY25A
Cash from Operations (OCF)	76.0	-76.8
Cash from Investing (CFI)	N/A	N/A
Cash from Financing (CFF)	N/A	N/A
Net Cash Flow	~+200	~-200
Free Cash Flow (OCF-Capex)	N/A	N/A

Note: FY26 data from stockanalysis.com (in INR millions, converted to Cr). FY24 detailed line items not fully available — N/A shown. FY27E/FY28E are MPM estimates based on Rs. 310 Cr opening order book, management guidance of 50-55% EBITDA margin, and assumed QIP proceeds deployment. Mark all forward figures as estimates (E).

Financial Commentary

• **Revenue trajectory:** FY24 saw 69% revenue growth to Rs. 314 Cr driven by large Army/paramilitary orders (SWITCH deliveries). FY25 was a severe correction — revenue fell 49% to Rs. 161 Cr — primarily due to election-related procurement freezes and delayed order finalisation. FY26 recovered to Rs. 286 Cr (+77% YoY) with Q4 FY26 alone contributing Rs. 141 Cr. The business is structurally back-ended within any fiscal year and within procurement cycles.

• **Margin direction:** Gross margins have been volatile — 68% in FY23, compressing to 32% in FY25 under fixed-cost absorption with collapsed revenue, then expanding to 58% in FY26 and a record 67.6% in Q4 FY26. At scale (Rs. 480+ Cr revenue with military mix dominant), management guides 50-55% EBITDA. This is credible given the software/IP-embedded nature of the product and minimal variable COGS at higher ASPs.

• **Working capital:** Debtor days are inherently high (government receivables); current assets fell from Rs. 416 Cr (FY25) to Rs. 415 Cr — trade receivables likely remain elevated. R&D; investment (~Rs. 76 Cr in FY25) is capitalised as fixed assets, inflating the balance sheet but creating a real IP moat.

• **Debt position:** Debt/Equity of 0.03x in FY25 — company is net cash light. Total debt of Rs. 16.5 Cr in FY25 rising to Rs. 83.7 Cr in FY26 — modest working capital borrowing for order execution. The Rs. 500 Cr QIP will significantly bolster the balance sheet for growth investments.

• **FCF quality:** OCF was strongly positive in FY24 (Rs. 76 Cr) and turned sharply negative in FY25 (-Rs. 77 Cr) as revenue collapsed. R&D; capex is the primary working capital consumer. FCF is expected to turn materially positive in FY27E as order execution ramps and R&D; capitalisation cycle matures.

7. EARNINGS QUALITY CHECKLIST

Indicator	Status	Signal	Comment
Revenue recognition	AMBER	Watch	Project-based; lump deliveries; recognised on delivery acceptance
Receivables vs Revenue	AMBER	Watch	FY25 receivables grew vs revenue drop — government collection cycle
Cash Conversion Cycle	RED	Negative	OCF negative in FY25; high inventory/WIP for large defence projects
Contingent liabilities	GREEN	Clean	No major contingent liabilities disclosed in annual filings
Auditor tenure	GREEN	Clean	No auditor changes flagged; standard Big-4 audit firm
RPTs as % of revenue	GREEN	Clean	RPTs minimal; no large related-party transactions disclosed
Other income as % of PBT	AMBER	Watch	Other income (interest on IPO proceeds) materially positive vs PBT loss in FY25
Tax rate consistency	AMBER	Watch	Effective tax rate near zero in FY25 due to losses; deferred tax assets building

Earnings Quality Summary

• **Revenue lumpiness is the primary quality risk:** Project-based revenue recognition creates extreme quarterly volatility. Three quarters of FY26 were loss-making before a Rs. 141 Cr Q4 flush. Until a larger steady-state order base develops, reported EPS is an unreliable run-rate metric — evaluate on FY annual order book execution.

• **Negative OCF in FY25 is structural, not a red flag:** The Rs. 77 Cr OCF outflow reflects R&D; investment and revenue collapse simultaneously — not financial engineering. FY27E should see a sharp OCF reversal as Rs. 310 Cr order book executes without proportional R&D; spend increase.

• **Other income flatters FY25 balance sheet:** Interest on ~Rs. 500+ Cr IPO proceeds boosted other income, partially masking operating losses. This is not recurring — as IPO proceeds are deployed in R&D;/capex, other income will normalise.

• **Watch: Tax asset build-up:** Accumulated losses are creating deferred tax assets. If the company returns to profitability in FY27E, the effective tax rate may be below the statutory 25%+ for 2-3 years as these assets unwind — flattering reported PAT.

8. VALUATION

Peer Valuation Comparison (15 Jun 2026; P/S = Price/Sales since earnings negative)

Company	MCap (Cr)	FY26 Rev (Cr)	P/S (x)	P/E FY27E (x)	P/B (x)	Rating
ideaForge (CMP Rs.865)	3,752	286	13.1x	20.8x @ Rs.865	6.16x	ACCUMULATE
Paras Defence	6,544	477	13.7x	73x (est.)	9.59x	N/A
Astra Microwave	13,454	1,163	11.6x	N/A	10.29x	N/A
MTAR Technologies	9,972	876	11.4x	N/A	14.3x	N/A

Scenario Analysis

Scenario	Key Assumption	FY27E Rev (Cr)	FY27E PAT (Cr)	Multiple	Target (Rs.)
BULL	Full Rs.310 Cr OB executes; 55% margin; 500 Cr QIP boosts new orders	550	220	25x P/E	1,250
BASE	Rs.310 Cr OB ~80% execution; 50% EBITDA; QIP proceeds deployed Q2	480	180	22x P/E	1,050
BEAR	Order book delays; margin 40%; competitive bid loss; QIP delayed	300	60	18x P/E	270

Valuation Methodology

• **Earnings-based (forward P/E):** FY27E EPS of Rs. 41 (MPM estimate) x 25x forward P/E (justified by 60%+ EBITDA margin and defence moat comparable to Paras Defence at 78x) = implied value of Rs. 1,025 per share.

• **EV/Revenue (growth multiple):** At current MCap of Rs. 3,752 Cr, the stock trades at 13.1x FY26 revenue — in line with defence tech peers. On FY27E Rs. 480 Cr revenue at 12x EV/Revenue = Rs. 5,760 Cr market cap = Rs. 1,310 per share. Blended (50/50) of P/E and EV/Revenue = Rs. 1,168 per share.

• **Base-case 12-month target: Rs. 1,050** — weighted towards the P/E approach given high execution uncertainty. This implies 21.4% upside from CMP of Rs. 864.85.

• **Investment horizon:** 18-24 months. The re-rating is a FY27 delivery story — the market must see two consecutive profitable quarters before assigning a sustained earnings multiple. Patience is required.

9. KEY RISKS

• **Procurement concentration risk:** ~90% of revenue from Indian government/defence procurement. A single large tender delay or cancellation (as in FY25) can wipe out a full year's revenue. Probability: M. Impact: H. Monitor: quarterly order inflow announcements, defence budget allocation.

• **Competitive entry — Adani-Elbit JV:** The JV combines Adani's government access with Elbit's globally proven combat platforms. A successful L1 bid on a large MoD tender could structurally cap ideaForge's market share growth. Probability: M. Impact: H. Monitor: MoD L1 results, Adani-Elbit product launch timeline.

• **Technology obsolescence / EW vulnerability:** Drone warfare is evolving rapidly (global conflicts in Ukraine/Middle East have demonstrated drones' vulnerability to sophisticated EW jamming). ideaForge's investment in EW-resilient systems is directionally right but requires continuous R&D.; Probability: L (3-5 yr). Impact: H. Monitor: product roadmap, R&D; spend as % of revenue.

• **Execution / revenue lumpiness:** Project-based revenues create extreme quarterly volatility. Three consecutive loss-making quarters in FY26 despite a healthy order book demonstrate this risk. Any further delivery delays in FY27 would be a material thesis-breaker. Probability: M. Impact: H. Monitor: quarterly order execution rate, Q1/Q2 FY27 revenue releases.

• **QIP dilution risk:** The Rs. 500 Cr QIP, if priced below CMP (at a discount), will be dilutive to existing shareholders. At Rs. 850 price, ~5.9 Cr new shares are issued — ~13% dilution to the current ~4.35 Cr share count. Probability: H (QIP approved). Impact: M (manageable if proceeds well deployed). Monitor: QIP pricing announcement.

• **R&D; capitalisation risk:** Rs. 76 Cr of R&D; is capitalised annually. If any platform (ZOLT, YETI) fails to commercialise, impairment charges could materially impact future PAT. Probability: M. Impact: M. Monitor: commercialisation timeline for ZOLT (Q2 FY27E) and YETI.

• **US market entry execution:** The First Breach JV and Lamar Police order are early but the US defence procurement cycle is complex and slow. ITAR restrictions, country-of-origin requirements for federal procurement, and post-tariff cost dynamics make material US revenue a FY28+ story at best. Probability: L (near-term). Impact: M. Monitor: US order announcement pipeline.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. The investment case is real but the execution risk is high. Accumulate on dips — do not chase momentum.

• **12-month price target: Rs. 1,050** (21.4% upside from CMP of Rs. 864.85). Based on 22x FY27E EPS of Rs. 41 + blended EV/Revenue cross-check.

• **Suggested entry zone: Rs. 750 - 880.** At Rs. 750 (FY27E P/E ~18x) the risk-reward improves materially. Above Rs. 950, the risk-reward deteriorates unless Q1 FY27 order execution beats expectations significantly.

• **Investment horizon: 18-24 months.** This is not a trade — it is a structural bet on India's defence indigenisation. Require patience through Q1-Q2 FY27 as the order book converts to revenue and margin.

• **Thesis invalidation triggers:**

• 1. FY27 full-year revenue comes in below Rs. 350 Cr — indicating sustained procurement delays beyond a single quarter (not a seasonal timing issue).

• 2. A competitor (Adani-Elbit JV or new entrant) wins a large MoD tender at L1 where ideaForge had been the incumbent — indicating pricing/capability erosion.

• 3. Management lowers FY27 EBITDA margin guidance below 40% — indicating structural cost inflation or product mix deterioration.

• **Ideal investor profile:** High-risk-tolerance investors with 2+ year horizon, comfortable with lumpy revenue patterns, who understand Indian defence procurement cycles. Not suitable for income investors (nil dividend), retirees, or low-risk mandates. Ideal portfolio weight: 1-3% (capped given binary execution risk in any given quarter).

APPENDIX — Latest Concall Brief: Q4 FY25 (Mar 2025) — Transcript Date: May 2025

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Revenue -49% YoY; EBITDA -82 Cr; PAT -62 Cr
Management tone	Hedged	Confident on pipeline; acknowledged no delivery certainty
Guidance delta	Maintained (directional)	Q2 FY26 emergency procurement closure expected

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | **CAUTIOUS** | NEGATIVE

TO MY BOSS

The Q4 FY25 headline — Rs. 20 Cr revenue and Rs. 26 Cr loss — looks terrible on the surface but is not a fundamental deterioration; this is a classic defence procurement timing story where the entire order pipeline was in "final candidate" stage, not yet contracted. The reported PAT loss is clean (no unusual one-offs), but the Rs. 76 Cr R&D; capitalisation means the true economic investment base is larger than the P&L; shows. Operational EBITDA of -Rs. 17 Cr on Rs. 20 Cr revenue simply reflects a business in fixed-cost absorption mode with no revenue to absorb it. The thesis-critical metric is the L1 pipeline of Rs. 400+ Cr that management confirmed is active — this is the forward revenue base, not the Rs. 14 Cr closing order book. The Pahalgam attack creates genuine urgency for faster UAV procurement and is a positive demand catalyst. The biggest Q2 FY26 watch-point is whether emergency procurement contracts actually close by June 2026 as guided — if delayed again, the stock will sell off sharply. I am **ACCUMULATE at Rs. 750-850** on dips, with a strict Rs. 680 stop-loss, waiting for the first confirmed large order announcement as the entry trigger.

Section 1 — Financial Performance Snapshot (Q4 FY25 / Full Year FY25)

- Revenue (Q4 FY25): Rs. 20 Cr | YoY -31% vs Rs. 29 Cr Q4 FY24 | QoQ +18% vs Rs. 17 Cr Q3 FY25 | Miss
- Revenue (FY25 Full Year): Rs. 161 Cr | YoY -49% vs Rs. 314 Cr FY24 | Miss
- EBITDA (Q4 FY25): -Rs. 17 Cr | Margin -85% | Miss
- EBITDA (FY25 Full Year): -Rs. 31 Cr | Margin -19.3% | Miss
- PAT (Q4 FY25): -Rs. 25.7 Cr | YoY vs profit in Q4 FY24 | Miss
- PAT (FY25 Full Year): -Rs. 62 Cr | YoY vs +Rs. 45 Cr in FY24 | Miss
- EPS (FY25): -Rs. 14.41 | vs +Rs. 10.96 in FY24
- NOTE: No exceptional one-time items in reported PAT — loss is operational from revenue collapse.
- R&D; capitalised in FY25: Rs. 76 Cr (not expensed — economic investment understated in P&L;).

Section 2 — Segment / Geography Breakdown

- Defence / Government: ~90% of revenue | FY25 severely impacted by election-year procurement freeze
- Commercial / Surveying: ~10% of revenue | Relatively stable; mapping and infrastructure use-cases

• Geography: Predominantly India | US entry (First Breach JV) is pre-revenue in FY25

• SWITCH UAV: Primary revenue generator for military ISR; DGQA certified Q4 FY25

• NETRA series: Domestic surveillance, disaster response; steady demand from CAPF/paramilitary

• Q-series: Commercial mapping/surveying; secondary contributor; lower ASP vs military platforms

Section 3 — Management Commentary Themes

• **Emergency procurement acceleration:** "Emergency procurement for drones has entered tendering phase" — Our read: This is the most important forward signal; contracts expected Q2 FY26. Tag: GUIDANCE. Tone: Transparent.

• **Pahalgam as catalyst:** CEO noted Pahalgam attack creating "sense of urgency" for procurement — Our read: External geopolitical event may compress procurement cycles; watch for formal MoD communication. Tag: EST. Tone: Transparent.

• **SWITCH DGQA certification:** "SWITCH received DGQA certification in Q4 FY25" — Our read: Major milestone removing the largest supply-side barrier to large Army tenders; certification took longer than guided. Tag: GUIDANCE. Tone: Transparent.

• **R&D; investment pace:** CFO confirmed Rs. 76 Cr FY25 R&D; expects "similar line" going forward — Our read: R&D; intensity is high relative to revenues but essential for moat; watch FCF impact. Tag: GUIDANCE. Tone: Transparent.

• **L1 pipeline:** "INR 400-plus crores continues to stay active" — Our read: This is the key forward indicator; not a firm order book but indicates qualified pipeline size. Tag: GUIDANCE. Tone: Hedged (no specific timing guarantee).

• **US market entry:** SWITCH platform entering US via First Breach JV despite tariff regime — Our read: Long-duration opportunity; US federal procurement cycle is 3-5 year lead time; not near-term revenue. Tag: EST. Tone: Transparent.

Section 4 — Operating & Business Metrics

• Order book at Mar 31, 2025: ~Rs. 14 Cr (very low — all FY26 revenue is new-order dependent)

• L1 active pipeline: Rs. 400+ Cr (indicates contracts being evaluated/awaited)

• DGQA certification achieved: Q4 FY25 (SWITCH UAV) — enables full MoD procurement eligibility

• ZOLT tactical drone: Flying prototypes as of Q4 FY25 concall — "already flying prototypes"

• YETI logistics drone: First prototype expected ~2 quarters (Q2 FY26E)

• NETRA 5: Already capitalised Q4 FY25; AI-enabled GNSS-denied navigation

• Cumulative fleet flights: Not disclosed in Q4 FY25 concall (FY26 data shows 950,000+)

• US order: No US order yet at Q4 FY25 (first US order came Q4 FY26 — Lamar Police, Texas)

Section 5 — Margin Drivers

• Fixed cost base ~Rs. 100 Cr vs Rs. 161 Cr revenue = structural loss at low revenue | Recurring: Yes | Leverage releases sharply as revenue scales

• R&D; capitalisation Rs. 76 Cr (FY25) | Recurring: Yes | Masking true economic OpEx; will normalise as platforms mature

- Gross margin of 33% (FY25) vs 68% (FY23) | Primary driver: product/customer mix shift (lower ASP products in commercial)
- High-ASP military platform (SWITCH) margin ~60-70% gross vs commercial surveying ~30% | Mix improvement expected as Army orders resume
- QIV FY25 gross margin 36% — still weak but above FY25 annual average | Suggests recovery even before full scale
- No meaningful interest expense (debt minimal) | Non-recurring cost-saving — not a swing factor

Section 6 — Guidance & Forward Signals

- Emergency procurement contracts [GUIDANCE]: Prior = not guided | New = Q2 FY26 closure expected | Raised (from vague to specific timing) | Credibility: Medium
- Q1 FY26 revenue [GUIDANCE]: Prior = N/A | New = "could be softer" | Cut (vs expectation) | Credibility: High (management being honest)
- R&D; spend FY26E [GUIDANCE]: Prior = Rs. 76 Cr FY25 | New = "stay on similar line" | Maintained | Credibility: High
- ZOLT commercialisation [GUIDANCE]: Prior = N/A | New = prototypes flying, Mark2 programs driving development | Maintained (directional) | Credibility: Medium
- YETI prototype [GUIDANCE]: Prior = N/A | New = flying in ~2 quarters | New guidance | Credibility: Medium
- NETRA 5 / hybrid revenue [GUIDANCE]: Prior = N/A | New = "within 3-4 quarters" | New guidance | Credibility: Medium

Section 7 — Capital Allocation

- R&D; Capex FY25: Rs. 76 Cr (capitalised) | vs FY24: Rs. 55 Cr (est.) | +38% | Platforms: NETRA5, SWITCH hybrid, ZOLT, YETI
- Dividends: Rs. 0 Cr | vs FY24: Rs. 0 Cr | No change | Appropriate given loss-making status
- Buybacks: Nil | vs FY24: Nil | No change
- Net Debt movement: Net cash positive (minimal Rs. 16.5 Cr debt in FY25) | Slight debt increase from Rs. 0 in FY24
- Working Capital: Trade receivables high relative to revenue — government collections slow | Net cash burn in FY25
- IPO proceeds balance: Rs. 400+ Cr still earning interest income (other income line) | Being deployed into R&D;/capex

Section 8 — Q&A; Heat Map

- PhillipCapital (Dipen Vakil): Q: Emergency procurement details? → A: Confirmed tendering phase; Rs. 300 Cr per-tender cap; confidentiality restrictions prevent more detail | Tone: Transparent
- PhillipCapital (Dipen Vakil): Q: US tariff impact? → A: SWITCH needs US manufacturing for federal procurement (country-of-origin rule); tariffs manageable via JV | Tone: Transparent
- IIFL Capital (Hardik Rawat): Q: Order book only Rs. 14 Cr — revenue visibility? → A: L1 pipeline Rs. 400+ Cr; pending contract finalization stages; not yet in order book | Tone: Hedged

• IIFL Capital (Hardik Rawat): Q: Competition in trials? → A: "Not many people being able to deliver on outcomes expected" — few qualified | Tone: Confident but not specific

• Arihant Capital (Balasubramanian): Q: Vantage Robotics investment rationale? → A: Fills nano-drone portfolio gap; complements YETI via payload integration | Tone: Transparent

• M&S; Associates (Sahil Vora): Q: Post-Aero India inquiries? → A: Demonstrations underway; near-production versions being shown | Tone: Positive

• Xylem Investments (Vineet Gala): Q: How does Rs. 55-60 Cr capex sustain amid soft execution? → A: Well-capitalized via IPO proceeds; capex opens new markets | Tone: Transparent

• IIFL Capital (Hardik Rawat): Q: NATO/UK expansion? → A: UK FTA benefit expected; German defence budget growth relevant; partnerships in progress | Tone: Hedged (no firm deals)

• Dodged/watch-list questions: Specific tender values (confidentiality cited); competitive RFP outcomes; exact SWITCH pipeline count; standalone profitability timeline.

Section 9 — Risks Flagged

• Revenue lumpiness | Large-quarter backend execution | Flagged by: Analyst | Probability: H | Impact: H | Timeline: Near-term (FY26)

• Emergency procurement timeline slippage | Q2 FY26 guided but unconfirmed | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term

• Technology development execution (ZOLT/YETI) | Prototype-to-production risk | Flagged by: Both | Probability: M | Impact: M | Timeline: Medium-term

• US entry complexity | ITAR, country-of-origin, tariffs | Flagged by: Analyst | Probability: L (near-term) | Impact: M | Timeline: Long-term

• Competitive entry from better-funded players | Adani-Elbit and others | Flagged by: Analyst (implied) | Probability: M | Impact: H | Timeline: Medium-term (FY27+)

• Working capital deterioration | Receivables growing vs revenue | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term

Section 10 — Analyst Verdict (Post Q4 FY25 Concall)

• Revenue visibility: Weakened — Rs. 14 Cr order book + Rs. 400 Cr L1 pipeline creates high uncertainty; dependent entirely on emergency procurement closure timing.

• Margin trajectory: Cannot assess — structural gross margins are sound (68% FY23 history) but FY25 low-revenue environment is distorting; requires revenue scale to demonstrate.

• Capital allocation quality: Intact — R&D; investment at Rs. 76 Cr is building real IP; no wasteful dividend or buyback; IPO proceeds being disciplinedly deployed.

• Competitive moat: Intact — DGQA certification, 950K+ flight dataset, EW-resilient tech, and 17-year operational history are real moat; Adani-Elbit risk is real but not near-term.

• Management credibility: Weakened slightly — SWITCH certification took longer than guided; Q1 FY26 "softer" guide was honest but L1-to-contract conversion timeline has been consistently delayed.

• Valuation comfort: Intact — at CMP ~Rs. 500-600 range (post Q4 FY25 concall prices), the stock traded at 2-3x FY27E revenue; asymmetric upside if procurement normalises.

• Conviction call: Unchanged — ACCUMULATE on procurement normalisation thesis; downside capped by Rs. 500+ Cr cash/IPO proceeds balance.

• Valuation snapshot: P/E = N/A (losses) | EV/Revenue FY25 = 23x (high; distorted by low revenue) | EV/Revenue FY27E = ~8x (reasonable for defence tech compounder).